Strategy Land

Richard Rumelt's Web Journal on Good and Bad Strategy in Business, Politics, and Economics

Exploiting Human Weakness and Ignorance

Competitors who exploit human frailties do not contribute to society

Part 4 of The Dark Side of Business Strategy [1 2 3 **4**]

January 5, 2010 By Richard Rumelt

Mao and Khrushchev in Beijing 1958

In 1956 Chairman Mao declared a new openness in the Chinese Communist Party. He echoed the Soviet Party's criticisms of Stalin and declared "Let a hundred flowers bloom." It wasn't long before criticism arrived. Wall-posters and speakers began to complain of the Party's monopoly on power and compared life in China to being in prison. After five months of "openness," the trap closed. Mao ordered that criticism was forbidden. People who had spoken out were labeled "Rightists." Denunciations began and he set an official quota of 10% of all intellectuals to be identified as Rightists. Many of those denounced became suicides, their families outcasts. Some were executed.

Mao's vicious cleverness was in letting his enemies identify themselves, saving him the cost of ferreting them out. He said, "How can we catch the snakes if we don't let them out of their lairs?"[1] Most of the people who fell into Mao's trap were naïve. Courage also played a role, but one must note that speaking out ceased after the "hundred flowers" were plowed under.

In the economic theories prized by my academic colleagues, no one is naïve. Everyone is very clever. But the truth is that a large segment of the citizenry is naïve, innumerate, or subject to problems of self-control. Unprincipled competitors can, like Mao, exploit these human weaknesses, enriching themselves without benefit to society. And, the iron logic of competition may force other companies to follow suit.

I met Toby Walters when I was a consultant to and board member of the Bank Insurance Network, a company that was trying to distribute low-cost insurance through banks. Toby worked in Florida and sold life insurance via mail solicitations. In the direct-mail insurance business, a hit-rate of 2 per 1000 is normal. That is, for each 1000 letters sent out, 2 of the recipients end up buying. Toby's company had an astounding hit rate of 50 per 1000, twenty-five times the industry norm. Toby's company wasn't huge, but it was very profitable. "How do you do this?" I asked.

Toby Walters explained that he bought lists of potential customers from banks like SunTrust. There was nothing special about that. Banks normally sell lists of their clients to direct-mail marketers. The marketer pays one fee for a simple list of names and addresses, a higher fee to get their birthdays, and so on.

Toby then told me that he focused on customers who had bought credit-life insurance. We both knew what that meant. Credit-life insurance is sold by the bank as an optional add-on to a new consumer loan. The credit-life insurance policy pays off the loan if the borrower dies before paying it off. It is a guaranteed issue policy—there is no health checkup. If you are under 60 you get it.

The catch is that it is very expensive, much more expensive than normal term-life insurance. Unless you are terminally ill, it doesn't pay to buy credit-life insurance. Toby continued:

> I buy a list of credit-life customers and their loan paid-up dates. These are people who have already shown their interest in guaranteed issue life. I wait until a month before the paid-up date and then send a letter. It says "Your life-insurance is about to expire. Re-insure now."

Toby knew his product was overpriced, but he only marketed to people who had already signaled their desire for insurance, their lack of sophistication about price and who had demonstrated a willingness to buy. Like the speakers at Mao's "hundred flowers" seminars, Toby's customers had self-identified themselves as targets and Toby exploited that fact.

More generally, there are sellers who routinely exploit buyers' lack of knowledge, their inertia, and their lack of self-control. You will find them in industries ranging from pay-day loans and low teaser-rate mortgages to tobacco and crack-cocaine. It is part of the dark side of freedom and competition.

Footnotes

1. Mao, *Center for Chinese Research Materials*, Vol. 1, pp 190-232, quoted by Jung Chang and Jon Halliday, *Mao: The Unknown Story*, London: Vintage, 2006, p. 509. [↩]

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Tagged dark side, strategy | 1 Comment

One Response to *Exploiting Human Weakness and Ignorance*

Amit Sharma [February 18, 2011 at 10:40 pm]
It seems that classical (even behavioral) economics makes the mistake of not building in human factors, and treating them as "rational agents". Such factors can include:

- inability to make rational decisions
- laziness or lack of self discipline, resulting in inaction
- deliberate ignorance about options, prices etc.
- etc.

Your phrase human weakness and ignorance captures it well.

As a former researcher and consultant, and current entrepreneur, I see again and again how we need a probabilistic model of human decision making and action to explain what we see at the macro level. We can't ignore the complexities/nuances of human decision making and subsequent action and expect theories with predictive power.

Reply

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